OBLIGATIONS AND CONTRACTS

6 WAYS OBLIGATIONS ARE EXTINGUISHED

1 PAYMENT OR PERFORMANCE

Fulfilling an obligation by paying, delivering, or performing what is required.

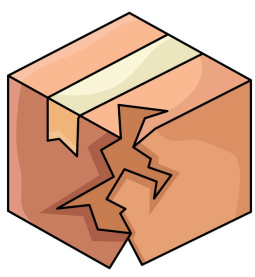
Ex.: Paying a ₱500 debt in full.



2 LOSS OF THE THING DUE

A specific item is lost or destroyed under circumstances that legally extinguish the obligation.

Ex.: A specific item is destroyed without the debtor's fault before delay.



3 CONDONATION OR REMISSION

The creditor voluntarily forgives the debt, subject to legal requirements.

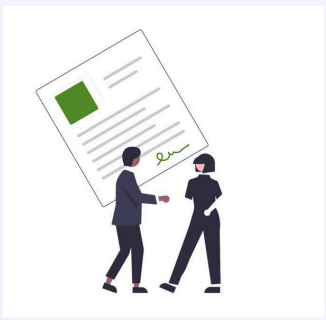
Ex.: A lender forgives a friend's debt.



4 CONFUSION OR MERGER

The roles of creditor and debtor become united in one person.

Ex.: A debtor succeeds to the creditor's rights, uniting both roles in that person.



5 COMPENSATION

Two people owe each other debts that meet the legal requirements for compensation.

Ex.: Nel owes Dan ₱1,000, and Dan owes Nel ₱600. If legal compensation applies, Nel owes ₱400.



6 NOVATION

An existing obligation is replaced by a new one in a way that extinguishes the original.

Ex.: Both parties agree to replace an old obligation with a valid new one that extinguishes it.



Legal Basis
Article 1231, Republic Act No. 386, Civil Code of the Philippines.

Labitad, Arvy Leonelle S. • 23-00581 • 4th Year • BSIT • 2026-2027 • OBLICON